Manitoba

Residential Tenancies Commission
1650-155 Carlton Street, Winnipeg, Manitoba, Canada R3C 3H8
T 204-945-2028 **Toll-Free** 1-800-782-8403
F 204-945-5453 Email: rtc@gov.mb.ca

RECEIVED
JAN 0 9 2023

January 4, 2023

Thorwin Properties
1274 Archibald Street
Winnipeg, MB R2J 0Z3

By Regular Mail & Fax

Dear Thorwin Properties.:

RE: Rent Increase Appeal: 585 Corydon Avenue, Winnipeg, MB

To date, the following party has appealed the Order of The Residential Tenancies Branch relating to the above-mentioned property:

- E. Rosner – unit 10

Please find enclosed a copy of the tenant's appeal.

The Commission will be scheduling a hearing to consider this matter as soon as possible, and you will receive written notice of the hearing date, and time from our office, as soon as it is set.

Should you require additional information please call or email the Commission as indicated above.

Yours truly,

M Pollock

MICHELLE POLLOCK-KOHN
Deputy Chief Commissioner
Residential Tenancies Commission
/na
Encl.

THE RESIDENTIAL TENANCIES ACT
LOI SUR LA LOCATION À USAGE D'HABITATION
THE RESIDENTIAL TENANCIES COMMISSION
COMMISSION DE LA LOCATION À USAGE D'HABITATION

BETWEEN : (please print) ENTRE : (veuillez écrire en caractère d'imprimerie)

LANDLORD / LOCATEUR — **CURRENT ADDRESS /** ADRESSE ACTUELLE
Thorwin Properties — 1274 Archibald Street, Winnipeg, MB, R2J0Z3

BUS. PHONE / TÉLÉPHONE AU TRAVAIL — **HOME PHONE /** TÉLÉPHONE AU DOMICILE
(204) 222-2422 — /

FACSIMILE / FACSIMILE — **EMAIL /** COURRIEL
/ — **AND/ET** <carol.patterson@thorwin.ca

TENANT/ LOCATAIRE — **CURRENT ADDRESS /** ADRESSE ACTUELLE
Evan Rosner — 10-585 Corydon Ave, Winnipeg, MB, R3L0P3

BUS. PHONE / TÉLÉPHONE AU TRAVAIL — **HOME PHONE /** TÉLÉPHONE AU DOMICILE
/ — 2048991499

FACSIMILE / FACSIMILE — **EMAIL /** COURRIEL
/ — Evanroz@gmail.com

RECEIVED ON
JAN 03 2022
RESIDENTIAL TENANCIES COMMISSION

NOTICE OF APPEAL
AVIS D'APPEL

ADDRESS OF RENTAL UNIT IN DISPUTE:
ADRESSE DE L'UNITÉ LOCATIVE EN CAUSE: 10-585 Corydon Ave

ORDER NO. / NUMÉRO DE L'ORDRE : w2022-005191-010

I, Evan Rosner**, disagree with the Decision/Order of the Residential Tenancies Branch dated** December 12 **, 2022, and want to appeal to the Residential Tenancies Commission.**

I disagree with the Decision/Order of the Residential Tenancies Branch for the following reasons: Please see attached document.

Je ______________, ne suis pas d'accord avec la décision ou l'ordre de la Direction de la location à usage d'habitation en date du ______________, 2015 et désire interjeter appel devant la Commission de la location à usage d'habitation.

Je ne suis pas d'accord avec la décision ou l'ordre de la Direction de la location à usage d'habitation pour ces raisons: ______________

English ☒ **Anglais**	**French –** ☐ **Francais -**	**Indicate whether services in English or French are required for the hearing** **Indiquer votre préférence de service pour l'audience en anglais ou en français**

January 2, 2022 — Evan Ros
Date — **Signature**

IMPORTANT NOTE:
AT THE HEARING OF THE APPEAL, THE RESIDENTIAL TENANCIES COMMISSION WILL NOT CONSIDER ANY CLAIMS THAT WERE NOT THE SUBJECT OF A CLAIM AND DETERMINATION BY THE RESIDENTIAL TENANCIES BRANCH. ANY NEW CLAIMS MUST BE FILED WITH THE RESIDENTIAL TENANCIES BRANCH.

A COPY OF THIS NOTICE WILL BE GIVEN BY THE RESIDENTIAL TENANCIES COMMISSION TO THE DIRECTOR OF THE RESIDENTIAL TENANCIES BRANCH AND TO ALL PERSONS DIRECTLY AFFECTED BY THE DECISION OR ORDER APPEALED FROM.

NOTE IMPORTANTE:
LORS DE L'AUDITION DE L'APPEL, LA COMMISSION DE LA LOCATION À USAGE D'HABITATION NE PRENDRA PAS EN CONSIDÉRATION LES POINTS QUI N'ÉTAIENT PAS CONTENUS DANS LA DEMANDE INITIALE ET SUR LESQUELS LA DIRECTION DE LA LOCATION À USAGE D'HABITATION N'A PAS DÉJÀ STATUÉ. DANS DE TELS CAS, UNE NOUVELLE DEMANDE DOIT ÊTRE DÉPOSÉE AUPRÈS DE LA DIRECTION.

UNE COPIE DU PRÉSENT AVIS DOIT ETRE REMISE PAR L'APPELANT AU DIRECTEUR DE LA LOCATION À USAGE D'HABITATION ET À TOUTES LES PERSONNES DIRECTEMENT TOUCHÉES PAR LE DÉCISION OU L'ORDRE DONT IL Y A APPEL.

Dear Sir/Madam,

On November 9th, 2022 Thorwin Properties applied for rent increases above the guidelines for many of the tenants at 585 Corydon Ave.

The amount proposed for the unrenovated suite I occupy is **27%** over the current rent or an additional **$332** per month which translates to **$3984** for the year if accepted by the Residential Tenancies Branch.

I objected to the application and on December 12, 2022, the RTB ordered that the rent be increased to **$1218** from **$921**, an insignificant amount that does not take into account personal and socioeconomic factors that unjustly and unfairly affect this tenant.

I respectfully wish to appeal this decision and lead the RTC to deny all all rent increase applications. I have made an effort to provide 'finding of fact' to strengthen my arguments as demonstrated by photographic evidence and the collation of historical rent increase data.

I hope that you consider my points, empathize with my position, and make your decision in a manner informed by social responsibility to the renting public.

Thank you for your consideration.

Sincerely,
Evan Rosner

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Personal Financial Situation and Individual Considerations

My personal situation is very challenging and ought to be considered when making the decision to reject the proposed application for rent above guidelines.

Although I am a professional educator holding a valid Manitoba Teaching Certificate, I have been collecting Employment Insurance since September 1, 2022. I receive the taxable amount of $1756 per month of which $921 is allocated to the cost of rent. I am left with $835 to pay for remaining expenses. I have also received Canada Emergency Response Benefits during the initial pandemic lock down of 2020. In addition to that income, I also teach yoga for 1 hour per week for which I am remunerated $36 per hour. I am pursuing further education which will have the effect of pausing employment insurance benefits but the benefits will run out midway through 2023.

I represent a vulnerable demographic in which government policy has been enacted to protect. I have received the CERB to offset loss of income during the pandemic, EI to offset lack of employment, and I have anticipated the Residential Tenancies Act to protect me from the significant economic factors that have made life so challenging. It is not fair to continue to enrich a private corporation during this time when historically they have increased their rent prices without justification beyond their ledger.

I am currently unable to save money for future needs and I practice extremely constrained household budgeting in order to maintain a fair quality of living. The Federal government has implemented a policy to protect me in the form of CERB and the province of Manitoba has implemented EI benefits to assist me while I look for gainful employment. I hope that the RTC Deputy Commissioner will take into account my points and make a decision in my favour.

Housing and Economic Reality in Manitoba

Housing has become more unaffordable in Manitoba and it is reported in Ontario that 30% or more of household income is spent on shelter. This is impacting people across all income ranges and housing costs are wildly out of sync with incomes. Many people, such as myself, are being priced out of buying and are forced to rent at cost far beyond what is affordable. In my case, my income has decreased to a significant degree due to economic factors and misfortune. The Consumer Price Index (CPI) rose 6.9% year over year in October (cite) which has been reflected in the increased price from everything including groceries and gasoline. My income has not grown in sync with these increases.

Comparing the profit margins of private companies who benefit from several kinds of tax breaks to an underemployed tenant as the value of each dollar is not equal. Property management companies such as Thorwin Properties are guaranteed a profit no matter what the capital expenditures are. Tenants on the other hand are expected to bear the costs of this capital expenditures entirely while benefiting not at all. This fact is highlighted in every broadcast on this topic and every policy paper that is produced by an informed and socially aware organization[1]. Income inequality has increased over the last two decades and it is unjust for it to continue and be supported by the RTB.

Reported in Rentals.ca December 2022 Rent Report, the average price of rent for a 1 bedroom apartment in Winnipeg was $1187[2]. The data estimate price changes for a "constant quality" of rental units (comparing apples-to-apples units over time, or what economists call a "matched sample"). If the data comparison were made between units of true comparable metrics, such as renovated or unrenovated, and via district, it would mark a very clear difference in expectation of rental cost. Unfortunately, the trend seems to indicate that property managers ought to keep up with inflation despite not producing measurable and justifiable outcomes,

Property management companies are using loopholes to apply for rent increases above the guidelines, financial trickery that supersedes intended legislation. Section 123 of The Residential Act, was not designed to take into account the effect of pandemic or the downtrend of the economy, and literal interpretation of the application to increase above the guidelines is a stunning example of policy and potential human failure. Permitting property management to overturn the protective nature of the 0% rent increase guidelines for two years by claiming capital expenditures and operating expenses have increased is an inappropriate and unfair decision when there is a tremendous inequality between tenant and renter.

The Government of Manitoba legislates tenant protection in the form of rent increase guidelines which are stated as **zero percent for 2022 and 2023**. These guidelines were implemented in

[1] https://www.conferenceboard.ca/hcp/hot-topics/canInequality.aspx

[2] https://rentals.ca/national-rent-report

order to offset the economic hardship incurred due to the pandemic as well as increased inflation.

A landlord applies for above the rent guidelines based on the following information:

1. Operating Expenses (expenses that recur on a regular basis).
2. Capital Expenditures (improvements that have a lasting, long-term benefit)
3. Changes in services or facilities
4. The annual economic adjustment factor (A percentage set by the government each year to account for the effect of inflation on the landlord's revenue)

A landlord can raise the rent higher than the guideline only if they apply for an above-guideline rent increase, and only if they can demonstrate that a standard increase won't cover costs that they've incurred, such as by making extensive renovations. Their application must include information on how much they spend to operate and maintain the building.

It will be shown that the historical rent increases of Thorwin Properties have been made in bad faith, unjustifiably, and represent a serious judicial error.

Proposals for Rent Above the Guidelines vs Fair Rent at the Guidelines

Since becoming landlord for 585 Corydon Ave in 2018, Thorwin Properties/Myplace Reality has aggressively applied for rent increases above the guidelines annually as seen in Table 1.

Table 1. Proposals for rent Above the Guidelines by Year

Year	Guideline	Proposal	Decision
2018	1.30%	9.89%	9.89%
2019	2.20%	9.50%	3.80%
2020	2.40%	9.1%	4.20%
2021	1.6%	20.05%	13.2%
2022	0	26%	?
2023	0	?	?

The RTB decision to accept each application and allow for an increase of rent above the guidelines every year has caused a snowball effect of increasing costs far beyond what ought to be considered fair - especially when there is no benefit evident to the tenant. The year over year inflation of rent cost is far beyond what public policy had intended with its guidelines, the result of the period compounding.

It is undeniably greedy of the landlord to continue making expenditures that have no direct benefit for the tenants and exploitative of the RTB to continue applying for rent increase above guidelines.

None of the capital expenditures listed in the supporting documents provided by Thorwin Properties in their application have any direct effect on this suite for any year from 2018-2022.

The landlord has attempted to justify their rent proposal by spreading the misleading cost of capital expenditures over each unit in the building.

When comparing the year over year rent increases above guidelines applied for Thorwin Properties and granted by the RTB versus potential rent increases based on the guidelines, the resulting discrepancy is alarming.

Table 2. Comparing Fair Rent Increases to Actual Rent Increases			
Year	Guideline	Fair Rent Increase based on guidelines($)	Actual Rent Increase based on RTB decisions($)
2018	1.30%	692	692
2019	2.20%	701	752
2020	2.40%	716	781
2021	1.6%	733	895
2022	0	743	1025
2023	0	**743**	**1235**

If the RTB had made their informed decisions and only allowed rent increases as set by the guidelines then the rent of 2023 would be equal to approximately **$743** as opposed to the proposed **$1235.** This difference of approximately $500 is entirely unjustifiable as there have been no capital expenditures that have resulted in long term, and lasting benefits to the tenant.

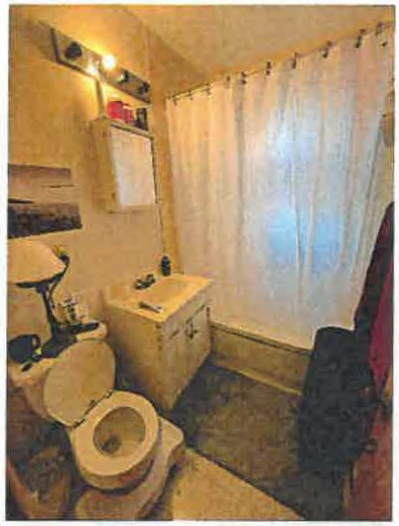
There is literally no difference in the suite in 2022 since prior to Thorwin Properties property management in January, 2017. There is no visible benefit that can be justified by the capital expenditures claimed by Thorwin Properties as seen in the photographic evidence attached.

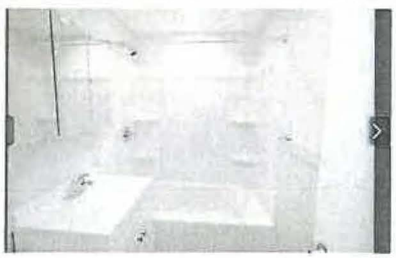
Evidence

I am disclosing the facts of my life as a citizen and renter in order to appeal to human compassion beyond judicial proceedings. Comparing these images to the newly renovated suites will indicate that a fair comparison between units is not being made and a rent increase based on unit by unit comparison is unjustified.

Suite 10-585 Corydon Ave		
Location	Photo	Comments
Living Room		This is the same flooring from before 2010. There have been no changes made to this suite. The same ceiling fan, venetian blinds, baseboards, and windows (2004) are the result of previous Property Management.
Kitchen		The flooring was installed in 2016 by the previous Property Management due to the linoleum title decaying. The appliances are also the result of the previous property management, Notice the cabinetry, Youngston Kitchens by Mullino circa 1956[3]! The sink is also ancient.

[3] https://mahoninghistory.org/2016/02/09/history-of-mullins-manufacturing-corporation/

Bathroom		The toilet is a new installation from 2019. All other features are from original property management.
Bedroom		Flooring was installed at an unknown date but prior to 2012.

Suite 11-585 Corydon Ave from Rentcafe.com		
Kitchen		
Bedroom		
Kitchen		
Kitchen and Living Room		

The renovated suite are described as on Rentcafe[4]:

Our one-bedroom apartments come with newly renovated suites with modern finishes. The kitchen features a granite kitchen countertop, stainless steel appliances including a farm-style sink with a high-arc sprayer, dishwasher, microwave, and plenty of kitchen storage space. There is vinyl plank wood flooring throughout, large windows with plenty of natural sunlight, a modern ceiling, and a cozy bathroom:

- Modern Ceiling Fan

[4] https://www.rentcafe.com/apartments/mb/winnipeg/the-pines-10/default.aspx

- Stainless Steel Appliances
- Stove
- Hood Range Fan
- Dishwasher
- Fridge
- Microwave
- Modern Finishes
- Closet and Storage Space
- Standard Shower and Bathtub
- Vinyl Wood Plank Floors
- Updated Windows and Blinds

The capital expenditures stated in the application affect the tenants of the newly renovated suites and there is a clear and verifiable difference betweens the suites. None of the stated amenities in the advertisement for suite 11 exist for suite 10.

Criticism of the Application for Rent Increase Above the Guidelines 2022

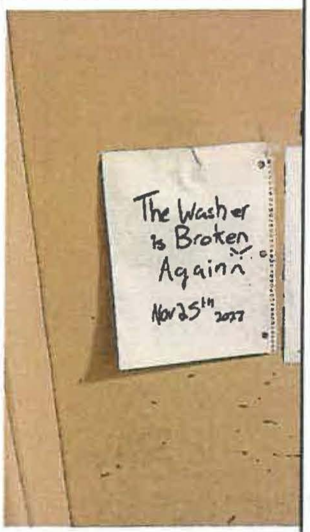
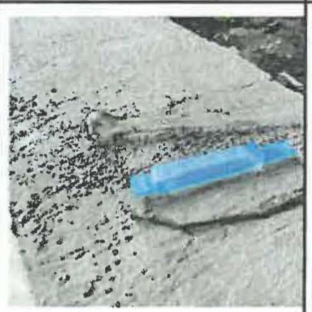
I viewed the application for rent above the guidelines proposal (Form 3) on November 28th, 2022 and noticed some discrepancies and strange claims. Capital expenditures that have been included in the application cover page as provided by Thorwin Properties include what has been described **as repairs as opposed to rehabilitation scheme**. My understanding is that this error in application should qualify for automatic rejection.

There are several complaints about the claimed capital expenditures that must be made:

- The services that tenants should expect such as snow removal/parking lot, carpet cleaning, laundry machine maintenance, and basic building cleaning are clearly stated as not occurring in a regular timeframe as seen in the invoices.
- According to the document, snow removal was done once last year and caused great stress to several tenants I have spoken to.
- In fact, according to the Building Cleaning Checklist and Monthly Cleaning Checklist, there is the expectation of cleaning walls, checking laundry machines, and sanitization which I have personally NEVER observed.
- Even the flower bed at the front of the property has never received maintenance and instead was the site at which I found a meth/crack pipe!
- Last year a homeless man managed to enter the building and many people have been using the portapotty that was provided for laborers to use as they do their work in the building.
- Doors slam on a daily basis and have never been maintained. This causes frustration and disturbance to all the residents.
- I note that there is an error in the application in which it is claimed that there is coin operated laundry but the machines have been upgraded to Coinmatic which have caused several weeks of total inconvenience for residents due to malfunction.
- Invoices of Kindret Landscaping and Bakers property management and Ernie's Yard Care indicate that services are performed infrequently.
- In the case of actual capital expenditures, the loading and hauling of materials from suites has been passed on to the tenants, which appears to be a questionable practice.
- A hallway radiator was apparently installed but I see no evidence of this. Appliances such as portable AC units were purchased and provided to some but not all tenants.
- No resident manager has stayed on the job for more than 6 months. In fact, we have had at least 5 who have not been responsible for completing the Building Cleaning Checklist and the result is dirty space. In fact, it is stated on Rentcafe.com that there is an On-Site Resident Manager, which is patently false.
- The repairs that have been done have disrupted the lives of the tenants and has caused dirt to accumulate in the hallways

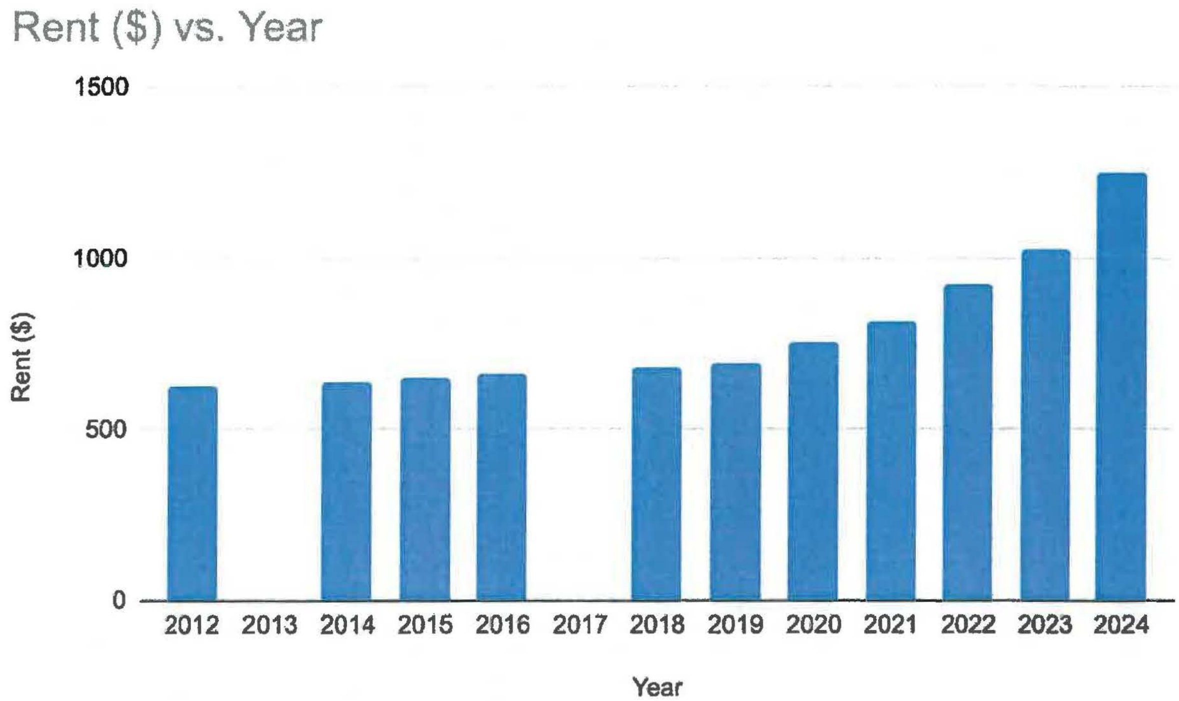
All in all, the capital expenditures claimed equal $40867.47 which are claimed to justify the 36% rent increase for the 11 suites. As seen in the attached photos, there is no benefit to this tenant, and as I have not been provided a parking spot several charges being passed on to me also seem unfair.

Additional Criticism of Property Management Services - Photographs and Examples

			
Washing machine failure	Washing machine failure	Washing machine failure, does not empty	
			
Repairs causing inconvenience and frustration for tenants who have a reasonable expectation for	A portapotty that has been knocked over by vulnerable people. (I called the company, Thorwin did not.)	A meth or crack pipe and saline solution found on the front planter. Although I did not take a photo, a homeless man was	Notice hallway with scrap wood from repairs. This has been left here for 1 month and I have personally overheard

undisturbed living.		sleeping here one day in the summer!	the labourers refusing to remove it! (Still present on January 2, 2023)

Further Data



Please note that these charts illustrate a troubling trend and clearly indicate predatory and exploitative rental practices by Thorwin Properties who has been successful in securing rent increases above the guidelines every year they have applied.

Year	Rent ($)	Proposed Rent for Next Year ($)	Rent Increase Guidelines (%)		Landlord Rent Increase Request (%)	RTB Approved Rent Increase (%)
2012	625	631	1	/	/	/
2013	X	X	1	/	/	/
2014	637	650	2	/	/	/
2015	650	666	2.4	/	/	/
2016	666	673	1.1	/	/	/
2017	X	X	1.5	/	/	/
2018	683	692	1.3	1.30 %	9.89%	9.89%
2019	692	752	2.2	2.20 %	9.50%	3.80%
2020	752	781	2.4	2.40 %	9.1	4.20%
2021	814	895	1.6	0.00 %	20.05	13.2
2022	921	1025	0	0.00 %	36%	?
2023	1025	1253	0		?	30%
2024	1253	1605 (est. based on 30% increase)	?	?	?	?

*x= Data unavailable

This table clearly shows the audacious proposal amounts made by Thorwin Properties as opposed to the previous property management company. This chart accurately illustrates Thorwin Properties as greedy and exploitative and the trend of rent increase entirely unjustifiable. There is no difference between 10- 585 Corydon Ave in terms of repair and renovation from 2012 -2023 except for the aforementioned repairs.

Conclusion

According to the CBC, in Manitoba, of the 310 requests to boost rent higher than the 2.4 per cent ceiling in the 2019-20 fiscal year, the RTB has approved every one[5]. The RTB makes their decision based on discretion and I implore the RTC make their decision based on the economic realities facing Manitobans, my personal situation, and to recognize that the claims of capital expenditures that have been undertaken by Thorwin Properties have been done in bad faith and will have disastrous consequences for this individual.

I have provided the RTC with facts that dispute the expenses claimed by the landlord as demonstrated with data and photographic evidence. I have brought the attention of the RTC to the very real and very human concerns that I have that are beyond the judicial regulations and must be considered in light of the economic realities facing me and all Manitobans.

It would be a fair and just decision to reject any proposal for rent increase above the guidelines.

Thank you for your consideration.

[5] https://www.cbc.ca/news/canada/manitoba/residential-tenancies-branch-manitoba-rent-freezes-1.5982459

Additional Details

Kris Thorkelson is the president and owner of Thorwin Properties and previously owner and operator of Canada drugs. He has been judged guilty of **knowingly distributing counterfeit cancer drugs** Avastin and Altuzan in the United States[6].

Although representatives of Thorwin Properties and the Deputy Commissioner responsible for appeal hearings have questioned the relevance of my mentioning Kris Thorkelson's criminal past in previous hearings, I consider it important for the public to be aware that the individual who is benefiting from RTB decision making has been found guilty of a horrendous crime. To be clear, as an affected family member who has witnessed the effect of cancer and chemotherapy treatment, I find it repugnant that Kris Thorkelson has escaped justice[7].

Testing of vials of the drugs recovered from shipments revealed that they **contained no active ingredient.** In 2012, Thorkelson and others at Canada Drugs became aware that they had shipped counterfeit Avastin and Altuzan to medical clinics in the United States. Thorkelson denied "selling or offering Avastin," even while the company attempted to recall the suspect drugs. At no time did Thorkelson notify the FDA or other authorities in the United States that counterfeit cancer drugs containing no active ingredient had been shipped to providers in the United States. Following this, he was found guilty of misprision.

These are the actions of a criminal, a sick human being who exploits the truly vulnerable for capitalist gains. He should not be enriched and rewarded. Not considering the criminal history of this person is a severe oversight that ought to be considered when making socially responsible decisions in the benefit of the public.

Anyone who has been affected by a friend or family member who has suffered through cancer treatment would be appalled that this man can continue to exploit and capitalize on vulnerable people.

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[6] https://www.justice.gov/usao-mt/pr/canadian-drug-firm-admits-selling-counterfeit-and-misbranded-prescription-drugs

[7] https://www.cbc.ca/news/canada/manitoba/kristjan-thorkelson-licence-reinstated-1.6377256